

# INVESTMENT COMMITTEE MEMORANDUM (EXCERPT)

Northgate Direct Lending Fund III | Halsted Industrial Services | IC date: December 9, 2024 | Approved

## 1. Recommendation

The deal team recommends approval of an \$85.0M senior secured unitranche facility (\$75.0M term loan and \$10.0M revolver) to support Calder Ridge Partners' acquisition of Halsted Industrial Services. Pricing is S+575 with 2.0 points of OID. Closing net leverage is 4.00x on LTM pro forma Adjusted EBITDA of \$18.3M, against an enterprise value of approximately \$160M (8.7x).

## 2. Business

Industrial maintenance, inspection, and repair services for refineries, chemical plants, and utilities across the Gulf Coast and Mid-Atlantic. About 70% of revenue is recurring maintenance under multi-year master service agreements; the rest is project work.

## 3. Covenant package

Maximum Consolidated Total Net Leverage of 5.50x, stepping down to 5.25x from the Q2 2026 test and 5.00x from the Q2 2027 test, and a minimum FCCR of 1.10x. Levels were set to give about 25% headroom to the base case throughout, and to be tested before the downside case breaches.

#### 4. Underwriting case

USD in millions. The base case assumes renewal-driven growth and stable margins. The downside case assumes revenue 8% below base and a 16.0% Adjusted EBITDA margin, reflecting a sustained wage shock that contracts cannot pass through.

|                        | Base 2025 | Base 2026 | Downside 2025 | Downside 2026 |
|------------------------|-----------|-----------|---------------|---------------|
| Revenue                | 96.7      | 100.5     | 89.0          | 92.5          |
| Adjusted EBITDA        | 18.4      | 19.1      | 14.2          | 14.8          |
| Adjusted EBITDA margin | 19.0%     | 19.0%     | 16.0%         | 16.0%         |

#### Key assumptions

- A1. Revenue grows about 4% a year from contract renewals and annual price escalators.
- A2. Adjusted EBITDA margin holds at about 19%; technician wage increases are passed through at contract renewal.
- A3. Gulf Coast remains below 40% of revenue as the Mid-Atlantic branches grow.

## 5. Key risks and mitigants

**R1. Labor inflation.** Technician wages rose about 7% in 2024. If they keep rising faster than contracts reprice, margin compresses before renewals catch up. *Mitigant:* 60% of contracts carry annual escalators; sponsor has committed to a pricing review in 2025.

**R2. Gulf Coast concentration.** 34% of revenue, exposed to refinery turnaround timing and storms. *Mitigant:* diversified customer base across the region; Mid-Atlantic growth plan.

**R3. Customer concentration.** Top five customers are 44% of revenue. *Mitigant:* average tenure of 11 years; no customer above 12%.

## 6. Monitoring focus

Track Adjusted EBITDA margin quarterly against the 19% assumption, headroom ahead of each step-down, and revolver usage as an early sign of working capital stress.